Microsoft and Activision-Blizzard

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Outline

1. Industry description
2. Competitive effects
3. Arguments of FTC and Microsoft / Activision
4. Case outcome

Video game industry

- 3 billion gamers
- Industry worth $170B in 2022 (5x movie box office revenues!)
- Microsoft gaming revenue FY2022 $16B, Activision revenues FY2021 $8.8B
- AAA games: CoD, FIFA, GTA, Assassin's Creed, Fortnite
- Game developers (upstream software): Activision, Electronic Arts (EA), Take-Two, and Ubisoft
- Game distributors (downstream hardware): Sony, Microsoft, Nintendo
- Access: buy-to-play, multi-game subscription, cloud gaming
- Case: Microsoft acquisition of Activision, reviewed by the FTC and European Commission

Market share, upstream

Table 1: AAA game development by revenue, global

Firm	2020	2021	2022
Microsoft	[0-5]%	[0-5]%	[0-5]%
Activision	[5-10]%	[5-10]%	[5-10]%
Combined	**[10-20]%**	**[10-20]%**	**[10-20]%**
EA	[5-10]%	[5-10]%	[5-10]%
TakeTwo	[0-5]%	[0-5]%	[0-5]%
Ubisoft	[0-5]%	[0-5]%	[0-5]%
Epic	[0-5]%	[0-5]%	[0-5]%
Tencent	[30-40]%	[20-30]%	[20-30]%
Others	[40-50]%	[50-60]%	[50-60]%

Market share, downstream

Table 2: Overall game distribution by revenue, global

Firm	2020	2021	2022
Microsoft	[30-40]%	[30-40]%	[30-40]%
Activision	/	/	/
Combined	**[30-40]%**	**[30-40]%**	**[30–40]%**
Sony	[50-60]%	[50-60]%	[50-60]%
Nintendo	[10-20]%	[10-20]%	[10-20]%
EA	[0-5]%	[0-5]%	[0-5]%
Square Enix	[0-5]%	[0-5]%	[0-5]%

Economic framework

Vertical integration:

- Pro: (Lec 14) Reducing double marginalization
- Pro: (Lec 14) Reducing holdup, increasing innovation
- Con: (Lec 14) Strategic foreclosure of Activision content
- Exclusivity agreements may favor entrant

Platform (Lec 16):

- Console as platform between game and developer
- Little standalone value, must differentiate via exclusive titles
- Experience network effects

Stylized facts

- Entry into both markets (AAA games, console) is uncommon and expensive
- Games are not very substitutable
- Hit-driven industry, sales concentrated among several top-selling games within first few months of release
- Customer heterogeneity

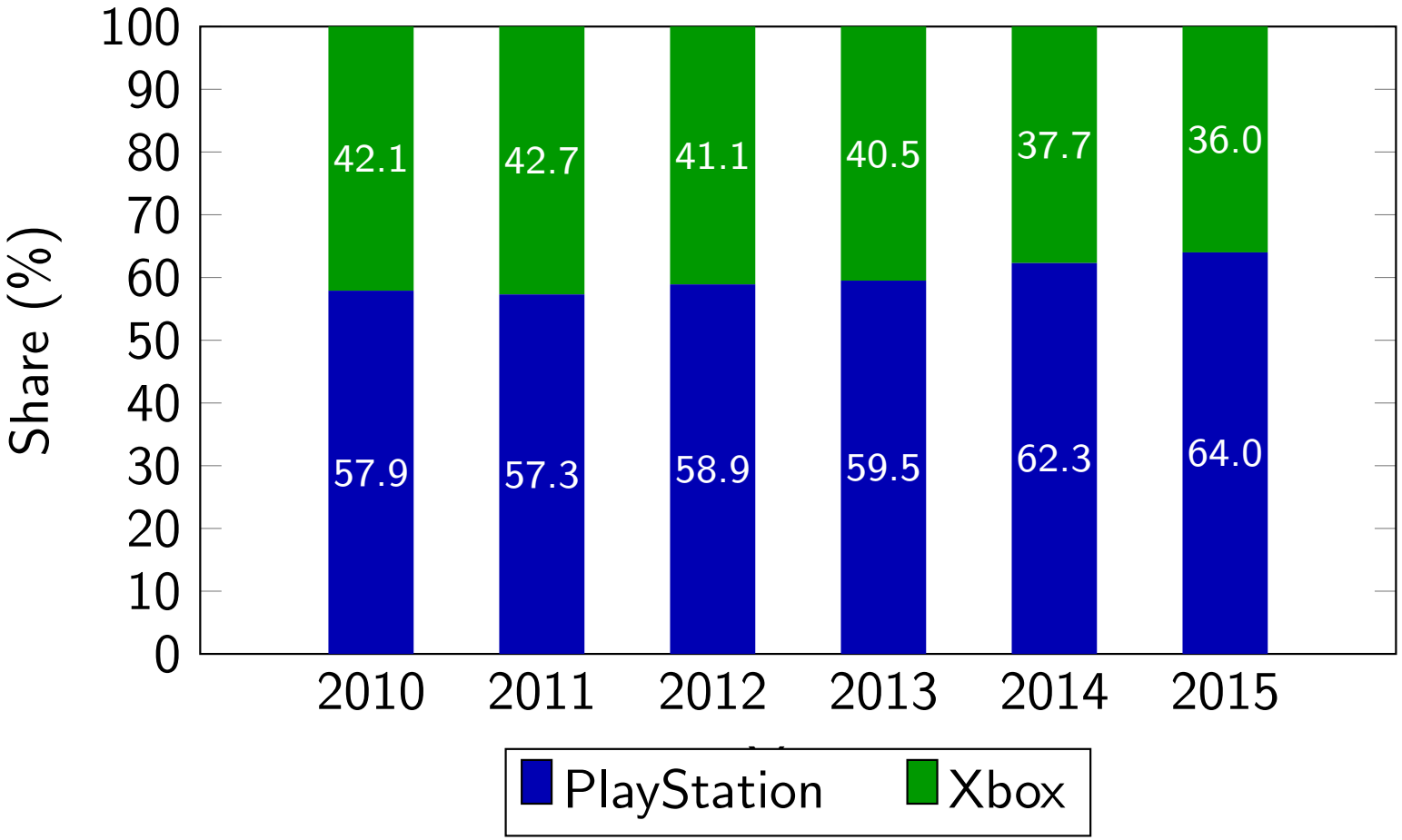
FTC analysis

- Market definition
- Overarching question: Do increased downstream sales outweigh decreased upstream sales?
- Impact of removing CoD title from Playstation on Xbox console sales $\rightarrow$ estimates switching rate and customer lifetime value of Xbox (Robin Lee)
- "Critical diversion ratios" versus "likely diversion" based on engagement level with CoD as a share of total gameplay (Commission)
- Finds in 3 out of 4 scenarios (different assumptions about switching rates), Microsoft finds it profitable to foreclose completely

Microsoft analysis

- Similar switching rate estimation from Microsoft
- $[60 - 70]\%$ of CoD console revenue comes from PlayStation
- Complete foreclosure would cause [10-20]% loss in overall deal value and [10-20]% loss in annual Xbox revenue $\rightarrow$ implied switching rate
- Critiques Commission's model: absolute engagement (vs CoD engagement as proportion) and customer lifetime value overestimation
- Analysis of console sales during partial foreclosure in the past (next slide)

PlayStation and Xbox Market Sales (2010-2015)



Case outcome

- They merged in 2023!
- U.S. courts were persuaded by network effects, reputational harm, lack of precedent, and lack of evidence of intent
- European Commission revised analysis showed 3 out of 4 scenarios showed foreclosure was unprofitable
- Sony retains largest installed base, higher MAU, ability to develop more games, and likely would experience low profit loss with low switching rate
- Survey suggests [0-5]% likely switching rate

Economic framework

Vertical integration (Lec 14):

- Double marginalization
- Holdup
- Foreclosure

Platform (Lec 16):

- Network effects
- Differentiation

- Reputation (Lec 5)
- Spence distortion (Lec 5)
- Coase conjecture (Lec 3)

Did foreclosure occur?

- CoD is still available on PlayStation and Xbox
- Announced November 2025: CoD BO7 comes to Xbox Game Pass Ultimate

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Appendix

Table 3: Annex Table 1: Engagement Level

CoD engagement level	**% of PlayStation users**	**Switching rate**
$[60-70]\%+$	$X_1\%$	$Y_1 = 1$
$[50-60]\%+$	$X_2\%$	Y_2
$[40-50]\%+$	$X_3\%$	Y_3
$[20-30]\%+$	$X_4\%$	Y_4
Total switching rate		

Appendix

Table 4: Annex Table 2: Profitable Foreclosure?

Scenario	LTV_{PS}	LTV_{Xbox}	**Critical switching rate**
1	\$5	\$100	5.000%
2	\$5	\$800	0.625%
3	\$20	\$100	20.000%
4	\$20	\$800	2.500%